JONGWE PANDIMIRE

National University of Science and Technology

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

MAIN EXAMINATION PAPER

DATE:	**DECEMBER 2019**
SUBJECT:	**ACCOUNTING INFORMATION SYSTEMS: CAC4104**
TIME ALLOWED:	**THREE (3) HOURS**
MARKS:	**100**

Joe give swt <xoxo

Nizkhalifa — work hard play hard

INSTRUCTIONS TO CANDIDATES

1. Attempt all questions
2. Use the examination book provided
3. Use black or blue pen
4. Begin each question on a new page and
5. Submit all answer books

QUESTION 1 [25 Marks]

An audit consultant was assigned to review a number of transactions by a large company Ly Ltd and several matters came to light during the recent review of the company's invoice files. Ly Ltd has not paid an invoice from Sk Ltd dated 14 March 2018 for work in respect of the financial statement audit for the year ended 31 December 2017. A file note dated 30 June 2018, states that Ly Ltd is suffering poor cash flows and is unable to pay the balance. This is the only piece of information in the file being reviewed relating to the invoice. The consultant Andrew is aware that the final audit work for the year ended 31 December 2017, which has not yet been invoiced, is nearly complete and the audit report is due to be issued imminently.

During his assignment the consultant came across an invoice for one of the managers Robby for renting space at the company premises yet it is not their main business. No record of the invoice payment can be located. In the 'miscellaneous invoices raised' file, an invoice dated last week has been raised to Billy Co, not a client of the company. The comment box on the invoice contains the note 'Billy Co to several audit clients regarding the supply of SAP accounting software'.

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Required:

Identify the auditing, accounting standards that are involved in the above scenario and elaborate on the ethical, professional issues rose by the invoice file review, and recommend what action, if any, Ly Ltd should now take in respect of the above transactions **[25 Marks]**

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QUESTION 2 [25 Marks]

The bursar's department is planning to automate and computerize the receipting and other student accounts. Their main objective is to allow students to pay fees either from home or from their local banks. The system should allow students to access their respective accounts to download their mini account balances, place enquiries and post comments. Assuming that you have been engaged as a business analyst of the project, produce a report detailing how you will provide a solution to their problem.

Using a detailed and well-labeled network analysis tool (s), describe how the project is going to be implemented taking into account dependencies, constraints, and the duration of the project. **[25 Marks]**

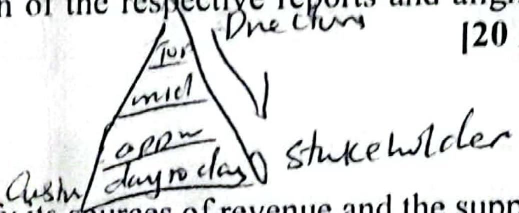
QUESTION 3 [30 Marks]

An accounting cycle is very important in an organizational setup and most management does not understand how it contributes to the survival of the business. Certain reports are generated from the system that aid in decision making process at all levels within the organization structure. Preparation of the financial reports is guided by various International Accounting Standards, International Financial Reporting Standards, GAAP, and GAS to ensure credibility of the information.

Required:

(a) Elaborate on the accounting cycle structure for a company **[10 Marks]**

(b) Examine the reports generated by the accounting cycle .Clearly stating standards applied in preparation of the respective reports and aligning them to the Anthony Hierarchy **[20 Marks]**



QUESTION 4 [20 Marks]

(a) Every business must identify its sources of revenue and the supporting expenses for survival and growth. Elaborate on the revenue cycle business activities and expenditure cycle business activities in an organization. **[10 Marks]**

(b) Explain on how the accounting standards aid the accounting information systems in relation to revenue and expenditure. Support with a flowchart. **[10 Marks]**

END OF EXAMINATION PAPER

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